

Prem Steels Pvt. Limited v. Paschimanchal Vidyut Vitran Nigam Limited & Another

High Court of Judicature at Allahabad · Division Bench · 2 May 2023 (final order; order-sheet from 12.7.2022, material orders 17.4.2023 and 2.5.2023) · WRIT - C No. - 11562 of 2022 · **Writ petition allowed. The Division Bench quashed the assessment order dated 15 December 2021 passed by the Executive Engineer under Section 126 of the Electricity Act, 2003, which had reiterated a final assessment order dated 3 August 2011 already set aside by the Section 127 appellate authority (order dated 9 April 2013) and had been passed without hearing the petitioner or permitting cross-examination. The Assessing Officer was directed to pass a fresh order strictly in consonance with the appellate authority's directions and after following the procedure prescribed under the U.P. Electricity Supply Code, 2005. The Executive Engineer, having been called upon to show cause for repeatedly disregarding judicial and appellate directions, tendered an unconditional apology which was recorded.**

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HEADNOTE

A fresh assessment under Section 126 of the Electricity Act, 2003, passed on remand from the Section 127 appellate authority, must comply with the appellate directions — leading of evidence, opportunity of hearing, and cross-examination of the Department's officers — and cannot merely reiterate the very final assessment order that the appellate authority had already set aside. Here the Section 127 appellate authority had allowed the consumer's appeal and remitted the matter (order dated 9 April 2013) for a fresh decision with hearing and cross-examination; the writ court reiterated those directions (common order dated 20 June 2013 in Writ-C No. 33912 of 2013) and the Discom's SLP was dismissed. The Executive Engineer nonetheless passed an order dated 15 December 2021 reiterating the set-aside final assessment order dated 3 August 2011, without hearing the petitioner or allowing cross-examination, on the stand that no hearing was required because the consumer had already been heard by the officer who made the earlier order. Holding that the contention that this was 'in teeth of' the appellate and writ-court directions 'appears to have force', and the Department having conceded that the order was not in consonance with those directions, the Division Bench (Manoj Kumar Gupta and Prashant Kumar, JJ.) quashed the order dated 15 December 2021 and directed a fresh order strictly per the appellate directions and the procedure under the U.P. Electricity Supply Code, 2005. The Court had also required the erring Executive Engineer to file a personal affidavit and show cause why the matter should not be referred to higher officials for action; he tendered an unconditional apology, which was recorded.

FACTUAL SUMMARY

M/S Prem Steels Pvt. Limited, an industrial consumer of the Paschimanchal Vidyut Vitran Nigam Limited, had been visited with a final assessment order dated 3 August 2011 under Section 126 of the Electricity Act, 2003. Its appeal under Section 127 was allowed by the appellate authority by order dated 9 April 2013, which remitted the matter to the assessing authority to decide afresh after permitting the parties to lead evidence, giving opportunity of hearing, and permitting cross-examination of the Electricity Department's officers. When those directions were not complied with, the consumer filed Writ-C No. 33912 of 2013, which (with other similar matters) was decided by a common order dated 20 June 2013 reiterating the appellate directions; the Discom's special leave petition against that order was dismissed, the question of law being left open. The Executive Engineer thereafter passed a fresh order dated 15 December 2021 reiterating the final assessment order dated 3 August 2011 — already set aside by the appellate authority — without hearing the petitioner or affording cross-examination, the counter affidavit contending that no hearing was required as the petitioner had already been heard by the officer who passed the previous order. The consumer challenged the 15 December 2021 order in the present writ petition (Writ-C No. 11562 of 2022). On 17 April 2023 the Division Bench, finding the petitioner's contention to have force, directed the Executive Engineer, Sri Narendra Singh, to file a personal affidavit and show cause why the matter should not be referred to higher officials for action against him for not following the repeated directions. He filed a personal affidavit tendering an unconditional apology, attributing the lapse to human error and lack of sufficient time; the Department conceded that the impugned order was not in consonance with the directions and sought liberty to pass a fresh order. On 2 May 2023 the Court quashed the order dated 15 December 2021 and directed a fresh order per the appellate directions and the Supply Code procedure, allowing the writ petition.

1. A fresh assessment under Section 126 of the Electricity Act, 2003 passed on remand from the Section 127 appellate authority must afford the consumer a hearing and an opportunity to cross-examine the Department's officers; an order passed without these — on the footing that the consumer had already been heard by the officer who made the earlier, set-aside order — breaches natural justice and the remand directions and is liable to be quashed.
order of 02.05.2023
2. An assessment order that the appellate authority has set aside is effaced; the assessing authority cannot reiterate that very order, and any fresh order must be passed strictly in consonance with the appellate directions and the procedure prescribed under the U.P. Electricity Supply Code, 2005. order of 02.05.2023
3. Where an officer repeatedly disregards the directions of the Section 127 appellate authority and the writ court, the Court may require the officer to file a personal affidavit and show cause why the matter should not be referred to higher officials for action, and may record his unconditional apology before quashing the offending order.
order of 17.04.2023, order of 02.05.2023

HOLDING-UNITS

HOLDING-UNIT · EA2003::126

RATIO

Hearing and cross-examination mandatory before a fresh Section 126 assessment

QUESTION

Must a fresh assessment under Section 126 of the Electricity Act, 2003, passed on remand, afford the consumer a hearing and an opportunity to cross-examine the Department's witnesses?

HOLDING

Yes. The Executive Engineer passed the impugned order dated 15 December 2021 without hearing the petitioner or affording an opportunity to cross-examine the witnesses — the very opportunities the appellate authority had directed on remand — the Department's stand being that no hearing was required because the petitioner had already been heard by the officer who passed the earlier (set-aside) order. Finding that the procedure was in teeth of the directions of the writ court and the appellate authority and that the petitioner's contention appeared to have force, the Court quashed the order; the fresh order must follow the appellate directions and the procedure prescribed under the U.P. Electricity Supply Code, 2005. order of 17.04.2023, order of 02.05.2023

EVIDENCE “The assessing authority did not hear the petitioner nor provided opportunity to cross-examine the witnesses.”
order of 02.05.2023

EVIDENCE “The contention appears to have force.” order of 02.05.2023

FLAG Order-sheet with substantive final order dated 2.5.2023 (and a material order dated 17.4.2023); no printed page numbers or numbered judgment paragraphs, so pins are order dates. Paragraph references in the source ('paras 18 and 22', 'para 7') are to the parties' affidavits, not the judgment.

INTERPLAY · EA2003::127

RATIO

Assessing authority bound by the Section 127 appellate remand and barred from reviving a set-aside assessment

QUESTION

Is the assessing authority bound by the Section 127 appellate authority's remand directions, and may it reiterate a final assessment order that the appellate authority had already set aside?

HOLDING

The assessing authority is bound by the appellate remand and cannot reiterate the set-aside order. The Section 127 appellate authority had, by order dated 9 April 2013, allowed the appeal and remitted the matter for a fresh decision after evidence, hearing and cross-examination; the writ court reiterated those directions on 20 June 2013 and the Discom's SLP was dismissed. The Executive Engineer nonetheless passed the order dated 15 December 2021 reiterating the final assessment order dated 3 August 2011 which already stood set aside — an order the Department itself conceded was not in consonance with the directions. The Court quashed it and directed a fresh order strictly in consonance with the appellate directions and the procedure prescribed under the U.P. Electricity Supply Code, 2005. order of 02.05.2023

EVIDENCE “The Executive Engineer, the assessing authority thereafter passed an order dated 15.12.2021 reiterating the final assessment order dated 03.08.2011 which already stood set aside by the appellate authority by order dated 09.04.2013.”
order of 02.05.2023

EVIDENCE “we hereby quash the impugned assessment order dated 15.12.2021. The Assessing Officer shall now pass fresh order strictly in consonance with the direction issued by the appellate authority in its order dated 9.04.2023 and after following the procedure prescribed under the U.P. Electricity Supply Code, 2005.” **order of 02.05.2023**

FLAG The evidence quote at the disposition reproduces the source verbatim, including its date typo '9.04.2023' for the appellate order of 09.04.2013.

PRINCIPLE TAGS

s126-procedural-strictness-notice-and-hearing The fresh Section 126 assessment dated 15 December 2021 was quashed because it was passed without hearing the consumer or permitting cross-examination of the Department's officers. **order of 02.05.2023**

set-aside-assessment-is-non-est-fresh-reasoned-order-required The assessing authority impermissibly reiterated the final assessment order already set aside by the appellate authority; a set-aside assessment cannot be revived and a fresh order following the appellate directions and the Supply Code procedure is required. **order of 02.05.2023**

assessment-order-quashed-and-remitted-for-hearing The order dated 15 December 2021 was quashed and the Assessing Officer directed to pass a fresh order strictly per the appellate directions and after following the procedure prescribed under the U.P. Electricity Supply Code, 2005. **order of 02.05.2023**

officer-accountability-for-defying-repeated-judicial-directions The Executive Engineer who reiterated a set-aside assessment order in defiance of the repeated directions of the appellate authority and the writ court was required to file a personal affidavit and show cause; he tendered an unconditional apology, which was recorded. **order of 17.04.2023, order of 02.05.2023**

NOT DECIDED — NEGATIVE AUTHORITY

NOT DECIDED — THE QUESTION OF LAW LEFT OPEN BY THE SUPREME COURT ON DISMISSAL OF THE DISCOM'S SPECIAL LEAVE PETITION AGAINST THE COMMON ORDER DATED 20 JUNE 2013

The SLP was dismissed 'leaving the question of law open for consideration in appropriate matter'; the present petition was decided on the narrower ground that the fresh order defied the appellate and writ-court directions and natural justice, without resolving that open question. [SCJ-154] **order of 02.05.2023**

RELATED CASES — SEE ALSO

SCJ-154 — Holds that an assessment set aside by the writ court becomes non est and cannot be treated as subsisting — squarely the vice here, where the assessing authority reiterated a final assessment order already set aside by the appellate authority.

SCJ-2196 — A Section 126 final assessment quashed and the matter remitted for a proper hearing — the same course adopted here.

SCJ-087 — A Section 126 final assessment quashed for not recording a hearing or dealing with the consumer's objections — the natural-justice defect (no hearing, no cross-examination) fatal to the order here.

SCJ-639 — The same industrial consumer, M/S Prem Steels, against the Discom in a separate matter (Section 47(4) interest on the security deposit).